

CANADIAN TAXATION OF LIFE INSURANCE

THIRTEENTH EDITION

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 **Manulife**

Tax, Retirement
& Estate Planning
Services



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this preemptive self-identification is not necessarily an admission of abusive tax avoidance, it will assist the CRA in identifying those transactions that may be subject to GAAR application.

Whether these reporting requirements could apply to transactions involving life insurance including leveraged life insurance strategies, will need to be considered. The CRA has been increasingly focused on tax promoter schemes and leveraged insured annuities (see discussion in 17.6 E). Many of the leveraged life insurance strategies discussed in this chapter are already quite well known in the marketplace. To the extent that no confidentiality agreement is required by the advisor or promoter and no form of guarantee of tax benefits offered to the client, it may be unlikely that these strategies meet the definition of a reportable transaction. However, where leveraged life insurance is combined with other elements, such as the payment of fees to the advisor by a third party promoter or other warning signs that the life insurance is used or will be used as part of a more complex tax planning strategy, compliance with these rules may be required. It remains to be seen if the category of notifiable transactions may specifically include transactions involving leveraged life insurance.

D. — Tax shelter rules

Generally, the tax shelter rules require a promoter to report and obtain a tax shelter identification number. In simple terms, a property is a tax shelter if, in the first four years of acquiring the property, the total of amounts represented to be deductible, equal or exceed the cost of the interest in the property. There have been no reported tax cases involving the application of the tax shelter rules to life insurance planning arrangements. However, there have been CRA technical interpretations in the context of leveraged insured annuities that comment on the tax shelter rules. Further discussion of the tax shelter rules is found at 17.5.C.vi in the context of leveraged insured annuities.

The main requirements under section 237.1 of the Act for an arrangement to be treated as a tax shelter are: there must be an acquisition of property; the promoter must have made statements or representations that a mathematical requirement would be met; and, that mathematical requirement is satisfied if in any of the first four taxation years after acquisition of the property, the deductions equal or exceed the cost of the property. Each of these elements has been the subject of case law and commentary.

In general, the tax shelter rules would only be a consideration in the leveraged insurance context where there is leveraging within the first 4 years of the arrangement. The main question relating to the property requirement is whether it is only the investment into which borrowed money is put that constitutes the property or whether the life insurance policy is included with the investment as part of the relevant property. This would be relevant in determining the cost for purposes of the mathematical requirement. The representation requirement would be satisfied where verbal or written communications are made about the tax benefits of the arrangement. In the case of immediate leverage, if interest or collateral insurance

deductions are discussed or illustrated in connection with a tax shelter property, it would appear that this requirement would be met.

The mathematical requirement is probably the most pertinent in the context of immediately leveraged life insurance. If the cost of the property is the cost of the investment into which borrowed funds are invested, and if the borrowing is treated as a limited recourse amount it would be a prescribed benefit that would reduce the cost. If so, any deductions for interest or collateral insurance may exceed that cost. To not be treated as a limited recourse amount, there must be bona fide arrangements evidenced in writing for repayment within a reasonable period, not exceeding 10 years and interest must be payable at least annually at a rate equal to or greater than the lesser of the prescribed rate at the time the debt arose and the prescribed rate during the term of the debt with the interest being paid within 60 days after the end of each taxation year of the borrower.

4.3 — Application and Associated Risks of Leveraged Life Insurance Programs

The following section will describe several of the leveraged life insurance applications and discuss the associated risks.

A. — Example 1: Individual retirement application

The facts

A is a 44-year-old individual who earns income from employment. A is in the highest marginal tax bracket, maximizes contributions to an RRSP and TFSA, and has eliminated non-deductible debt. A has a \$500,000 need for life insurance for family protection coverage. A is looking for a tax efficient investment vehicle that can provide for additional cash flow at retirement.

The structure

A acquires an exempt life insurance policy insuring on A's life with a face amount of \$500,000. Deposits are made to the policy throughout the 16 years prior to retirement at age 60. The cash surrender value in the policy accumulates on a tax-deferred basis.

Upon A's retirement, A borrows the additional funds from a financial institution (lump sum or in a series of annual borrowings) that A requires for personal living expenses. Under the terms of the loan, the life insurance policy is assigned as collateral security. The loan is structured so that interest is capitalized and added to the outstanding principal.

At A's death, the life insurance death benefit proceeds will be used to fund the repayment of the outstanding bank loan. Any proceeds remaining after the repayment will be paid tax-free to the named beneficiaries under the policy. It is important to note that the loan amount plus the capitalized interest will reduce the amount of the death benefit payable to the beneficiaries of the policy upon the death of the life insured. The death benefit pattern should be structured to ensure that there is